Agenda Summary Min

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Approved at

MINUTES OF A CITY COUNCIL MEETING

June 10, 2025

10:00 AM

Mayor Keeley opened the City Council Closed Session at 10:03 a.m. in a public meeting via Zoom and in Council Chambers, for the purpose of announcing the agenda, and receiving public testimony.

Roll Call

Present: Councilmembers Brunner, Newsome, O'Hara; Mayor Keeley.

Absent: Councilmembers Trigueiro, Golder; Vice Mayor Kalantari-Johnson.

Staff: City Manager M. Huffaker, City Attorney T. Condotti, Deputy City Manager/Director of Economic Development and Housing B. Lipscomb, Deputy City Clerk Administrator J. Wood, City Clerk Administrator B. Bush.

Statements of Disqualification - None.

Public Comment

Mayor Keeley opened the public comment period at 10:03 a.m. There were no speakers. Mayor Keeley closed the public comment period at 10:04 a.m., at which time the meeting was closed to the public and Council adjourned to the Courtyard Conference Room.

Closed Session

1. Conference With Legal Counsel - Liability Claims (Government Code §54956.95)

   1) Claimant: Jeanne Simari
   2) Claimant: CSAA Insurance Group
   3) Claimant: William H. Hartley Jr.
   4) Claimant: Mariela Menera Solorio

   Claim against the City of Santa Cruz

Council received a status report, took up under agenda item 16, and no reportable action was taken.

City of Santa Cruz
809 Center Street
Santa Cruz, California 95060

MINUTES OF A CITY COUNCIL MEETING
June 10, 2025

10:30 AM

Call to Order – Mayor Keeley called the meeting to order at 10:34 a.m. in Council Chambers.

Roll Call

Present: Councilmembers Brunner, Newsome, Golder (arrived at 2:51 p.m.), O'Hara; Vice Mayor Kalantari-Johnson (via Zoom, left at 3:22 p.m.); Mayor Keeley.

Absent: Councilmember Trigueiro.

Staff: City Manager M. Huffaker, Assistant City Manager M. Templeton, City Attorney T. Condotti, Director of Public Works N. Nguyen, Chief of Police B. Escalante, Deputy City Manager/Director of Economic Development and Housing B. Lipscomb, Chief People Officer S. DeLeon, Director of Finance E. Cabell, Director of Water H. Luckenbach, Director of Planning and Community Development L. Butler, Director of Parks and Recreation T. Elliot, Director of Information Technology K. Morgan, Assistant Director of Public Works/City Engineer K. Crossley, Division Chief of Prevention/Fire Marshal T. Shields, Economic Development Manager R. Unitt, Principal Management Analyst E. Nguyen, Recreation Superintendent T. Hedden-Jones, Recreation Supervisor D. Lawson-Thomas, Volunteer Coordinator J. Shamoun, Deputy City Clerk Administrator J. Wood, City Clerk Administrator B. Bush.

Oral Communications Announcement - The Mayor provided a brief announcement about Oral Communications.

Oral Communications (continued)

At 10:35 a.m. Mayor Keeley opened Oral Communications for members of the public who wished to speak regarding items not listed on the City Council agenda.

Kevin Cummings spoke regarding live theatre.

Unidentified person spoke regarding the riots in Los Angel

Unidentified person spoke regarding the Black Lives Matter movement, Silicon Valley Bank, Planned Parenthood, demonstrations anticipated to happen, and federally owned banks.

Ken Bare spoke regarding upcoming SEIU contract negotiations.

Kevin Norton spoke regarding investing in neighborhood associations.

Odessa spoke regarding their experience working at the Downtown Library and suggested developing a social resource center to offer services that are needed citywide.

Unidentified person shared their experiences working at the library and asked Council to help find solutions.

Arden spoke regarding their experience working at the Felton Library.

Thais Hogarth spoke regarding their experience working at the Felton Library and requested the City provide services to help find solutions.

Unidentified person spoke regarding Three Princes Surf Point.

Athena spoke regarding the lack of services, free spaces for people to be during the day, and access to help.

At 10:56 a.m. Mayor Keeley closed Oral Communications.

Presentations were heard later in the afternoon following item 32.

Presentations

2. Hans Christian Andersen Awards

Councilmember O'Hara, Recreation Superintendent T. Hedden-Jones, Anna Marie Treadwell, ex-officio member of the Sister Cities Committee, and Isabella Tuncer, Chair of the Subcommittee for the Sister City Sestri Levante, spoke about the Hans Christian Andersen writing awards and announced this year's winners.

3. Outgoing Biarritz Junior Guard Delegation

Recreation Superintendent T. Hedden-Jones, Recreation Supervisor D. Lawson-Thomas, and Kaley Ross, parent representative for the Junior Guard Booster Club, introduced the Junior Guards who are the delegation going to Biarritz.

4. CityServe Volunteer Awards

Volunteer Coordinator J. Shamoun and Karen Delaney, Executive Director of the Santa Cruz Volunteer Center, spoke and the awardees were recognized.

Presiding Officer's Announcements – Mayor Keeley announced the agenda would be reordered to hear item 33 before item 32.

Statements of Disqualification – Councilmember Brunner announced she will be recusing herself from items 27, 28, and 34 as they relate to her employment.

Additions and Deletions – City Clerk Administrator B. Bush announced items 12, 13, and 14 have been removed from the agenda and are continued to the meeting of June 24, 2025.

City Attorney Report on Closed Session – See page 7948 for the report.

Council Meeting Calendar

5. The City Council reviewed and did not revise the meeting calendar attached to the agenda.

Consent Agenda

Councilmember O'Hara made a comment on items 15, 18, 19, 20, 21, and 26.

Councilmember Newsome made a comment on item 18.

Councilmember Brunner made a comment on items 10, 18, and 26.

Vice Mayor Kalantari-Johnson made a comment on items 15, 22, and 24.

Mayor Keeley made a comment on item 15.

Mayor Keeley opened the public comment period. The following people spoke:

Unidentified person spoke regarding items 7 and 15.

Karen Madura spoke regarding item 10.

Mayor Keeley closed the public comment period.

City Manager M. Huffaker announced item 20 will be continued to a future meeting.

MOTION: Councilmember O'Hara moved, seconded by Councilmember Newsome, to approve the remaining Consent Agenda.

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Brunner, Newsome, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmembers Trigueiro, Golder.
DISQUALIFIED:	None.

6. Resolution Extending the Emergency Declaration in Connection with the December 2024 Municipal Wharf Emergency (CA/CM)

   LOCATION: District 4

   Resolution No. NS-30,504 was adopted extending by sixty days the Local Emergency Declaration in connection with the December 2024 Municipal Wharf emergency.

Consent Agenda (continued)

7. Minutes of the May 27, 2025 City Council Meeting (CC)

   LOCATION: None

   Motion carried to approve as submitted.

8. Minutes of the May 28, 2025 City Council Study Session (CC)

   LOCATION: None

Motion carried to approve as submitted.

9. Enhanced Infrastructure Financing District Public Finance Authority Appointments (CC/EDH)

LOCATION: Citywide

Appoint carried David Doolin and David Foster as at-large members to the Enhanced Infrastructure Financing District Public Finance Authority with terms ending January 31, 2030.

10. Commission for the Prevention of Violence Against Women and Santa Cruz Police Department 2024 Joint Annual Report (CM)

LOCATION: Citywide

Motion carried to receive the Commission for the Prevention of Violence Against Women and Santa Cruz Police Department 2024 Joint Annual Report and provide direction as necessary.

11. Sustainability and Resiliency Committee Pilot (CM)

LOCATION: Citywide

Motion carried to approve the City Manager's recommendations for the Sustainability and Resiliency Committee pilot with terms ending in December 2026.

Consent Agenda (continued)

12. City Overlook Emergency Shelter Operations and Management Award Contract (CM)

LOCATION: District 1

This item was continued to the June 24, 2025 meeting and was not discussed.

13. Long-Term Safe Parking Operations and Management Award Contract (CM)

LOCATION: District 1

This item was continued to the June 24, 2025 meeting and was not discussed.

14. Emergency Shelter Transportation Program Operations and Management Award Contract (CM)

LOCATION: District 1

This item was continued to the June 24, 2025 meeting and was not discussed.

15. Offshore Drilling Resolution and Letter of Opposition (CN)

LOCATION: Citywide

Motion carried to:

- Adopt Resolution No. NS-30,505 confirming the City's commitment to prohibiting offshore drilling in our marine sanctuary; and

- Direct the Mayor to send a letter opposing the proposed 11th National Outer Continental Shelf (OCS) Oil and Gas Leasing Program.

16. Liability Claims Filed Against the City of Santa Cruz (FN)

Motion carried to reject the liability claims of 1) Jeanne Simari, 2) CSAA Insurance Group, 3) William H. Hartley Jr., and 4) deny application by Mariela Menera Solorio for leave to present a late claim, based on staff recommendation.

Consent Agenda (continued)

17. General Obligation Refunding Bonds - Tax Rate Authorization (FN)

LOCATION: Citywide

Resolution No. NS-30,506 was adopted setting the tax rate for FY 2026 with respect to the City's General Obligation Refunding Bonds.

18. Civic Auditorium – Handrail Project (c302422) – CEQA Exemption (14 CCR 15061 (PR)

LOCATION: District 4

Motion carried to:

- Approve the plans and specifications for the Santa Cruz Civic Auditorium Handrail Project (c302422);

- Authorize the issuance of an invitation for bid (IFB) for the project and award of the contract. The City Manager is hereby authorized and directed to execute the contract in a form approved by the City Attorney. The Director of Parks and Recreation is authorized to execute change orders within the approved project budget; and

- Approve of the California Environmental Quality Act (CEQA) determination contained in this agenda report, including the application of: (1) Class 1 Categorical Exemption (14 CCR 15301) for existing facilities, and (2) Common Sense Exemption (14 CCR 15061).

19. Award Contract for 800 W Cliff Drive Road Realignment Design Phase (c402515) (PW)

Location: Districts 3 and 6

Motion carried to award a contract to MME Civil & Structural Engineering (Santa Cruz, CA) for 800 W Cliff Drive Road Realignment Design [redacted] in the amount of $643,272 and reject all other proposals and authorize the City Manager to execute an agreement in a form approved by the City Attorney. The Director of Public Works is authorized to execute contract amendments within the approved project budget.

Consent Agenda (continued)

20. Contract Renewal with Hope Services, Inc. for the Resource Recovery Facility (PW)

LOCATION: District 6

This item was continued to a future meeting and was not discussed.

21. Energy Efficiency Improvement Projects (c402306, c402307, c402308) - Notice of Completion (PW)

LOCATION: Districts 4 and 5

Motion carried to accept the work of SitelogiQ, Inc (Sacramento, CA) as completed per plans and specifications and authorize the filing of the Notice of Completion for the following projects and authorizing the Public Works Director to sign the Notice of Completion as the Owners Authorized Agent:

1) Soquel Front Garage Solar (c402306);
2) Harvey West Park Ball Field Solar (c402307); and
3) Civic Auditorium Roof, Solar and BAS (c402308)

22. Santa Cruz Farmers' Market Street Closures (PW/EDH)

LOCATION: District 4

Resolution No. NS-30,507 was adopted establishing no-parking/tow away zones to support the Santa Cruz Farmers' Market.

23. Materials Recovery Facility (MRF) Stormwater Treatment System - Notice of Completion (PW)

LOCATION: District 6

Motion carried to accept the work of Tidal Vision Products, Inc. (Rodeo, CA) as completed per plans and specifications and authorize the filing of the Notice of Completion for the MRF Stormwater Treatment System (c402111) and authorize the Public Works Director to sign the Notice of Completion as the Owner's Authorized Agent.

Consent Agenda (continued)

24. Neary Lagoon Tule and Sediment Removal Project (m409668) – Approval of Plans and Specifications and Authorization to Advertise for Bids and Award Contract (PW)

    LOCATION: District 3

    Motion carried to:

    - Approve the plans and specifications for the Neary Lagoon Tule and Sediment Removal Project (m409668) and authorize staff to advertise for bids and award the contract. The City Manager is hereby authorized and directed to execute the contract as authorized by Resolution No. NS-27,563. The Public Works Director is authorized to execute change orders within the approved project budget; and

    - Exempt the project from Municipal Code section 3.10 - local hire requirements.

25. Award Contract to Clean Lakes, Inc. for Cyanobacteria Management (WT)

    LOCATION: County

    Motion carried to award a contract to Clean Lakes, Inc. (Martinez, CA) for cyanobacteria management services in an amount not to exceed $700,000.

Consent Agenda (continued)

26. Fisheries Monitoring and Non-Flow Conservation Fund Year 1 Project – Award Contracts (WT)

    LOCATION: County

Motion carried to:

- Award a contract to Environmental Science Associates (San Jose, CA) for Juvenile Salmonid Monitoring Services in the amount of $168,267.00 and reject all other proposals; authorize the City Manager to execute an agreement in a form approved by the City Attorney and authorize the Water Director to execute contract amendments within the approved budget;

- Authorize the City Manager to execute an agreement in a form to be approved by the City Attorney with Santa Cruz County Resource Conservation District for San Vicente Creek Instream and Riparian Restoration Project: Phase 1, not to exceed $503,898.72; authorize the Risk Manager to modify the insurance requirements of the agreement; and authorize the Water Director to execute future contract amendments within the approved project budget; and

- Approve the California Environmental Quality Act (CEQA) determination contained in this agenda report, including the determination that the action to award a contract to Environmental Science Associates is exempt from CEQA review under CEQA Guidelines 15306 (information collection).

End Consent Agenda

Consent Public Hearing

Mayor Keeley opened the public comment period. There were no speakers. Mayor Keeley closed the public comment period.

MOTION: Councilmember Newsome moved, seconded by Councilmember O'Hara, to approve the Consent Public Hearing Agenda.

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Brunner (with the exception of items 27 and 28), Newsome, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmembers Trigueiro, Golder.
DISQUALIFIED:	Councilmember Brunner (items 27 and 28).

27. Downtown Association: Parking and Business Improvement Area Assessments for FY 2026 (EDH)

    LOCATION: District 4

    Resolution No. NS-30,508 was adopted confirming the Parking and Business Improvement Area FY 2026 Plan prepared by the Downtown Association and levying the Parking and Business Improvement Area Assessments for FY 2026.

28. Cooperative Retail Management Business Real Property Improvement District Assessments for FY 2026 (EDH)

    LOCATION: District 4

Resolution No. NS-30,509 was adopted confirming the Cooperative Retail Management Business Real Property Improvement District Annual Plan FY 2026 and levying Cooperative Retail Management Business Real Property Improvement District Assessments for FY 2026.

Consent Public Hearings (continued)

29. Second Reading and Final Adoption of Ordinances 2025-14 and 2025-15 Amending the Title 24 Zoning Ordinance Related to Objective Design Standards for Multifamily Housing Updates, Parking, Bicycle Parking and Facilities, State Density Bonus, Reasonable Accommodations for People with Disabilities, Licensed Community Care Facilities, Low-Barrier Navigation Centers, and Historic Structures on Mission Street; and to Titles 10 and 15 of the Santa Cruz Municipal Code Related to Standards for Driveways, Daylighting, Bicycle Parking, Electric Vehicle Charging, Loading, and Bicycle Facilities to Better Meet the City's Policy Goals and Objectives and to Align with New State Laws. The Amendments to the Objective Design Standards in Title 24 are Part of the Local Coastal Program (LCP) Implementation Plan (IP) and Require Approval by the California Coastal Commission Prior to Taking Effect Inside the Coastal Zone (PL/ PW)

    LOCATION: Citywide

    Motion carried to:

    - Adopt Ordinance 2025-14 amending Titles 10, 15 and 24 of the Municipal Code related to Parking, Bicycle Parking and Facilities, State Density Bonus, Licensed Community Care Facilities, and Low-Barrier Navigation Centers;

    - Adopt Ordinance 2025-15 amending the Local Coastal Program (LCP) Implementation Plan (IP) and Title 24 of the Municipal Code related to Objective Design Standards for Multifamily Housing, Reasonable Accommodations for People with Disabilities, Licensed Community Care Facilities, Low-Barrier Navigation Centers, and Historic Structures on Mission Street;

    - Adopt Resolution No. NS-30,510 authorizing the City Manager to submit the proposed amendments within Ordinance No. 2025-15 that are part of the Local Coastal Program as Local Coastal Implementation Plan amendments to the California Coastal Commission for final certification; and

    - Acknowledge the determination that the proposed amendments are covered by the Environmental Impact Report prepared for the City's General Plan and approved in June 2012 and find that the changes are also Exempt under California Environmental Quality Act (CEQA) Guidelines Section 15061(b)(3).

Public Hearings

30. User Charges for Wastewater Services – Proposed Five-Year Increase (PW)

    LOCATION: Citywide

Assistant Director of Public Works/City Engineer K. Crossley gave a presentation.

Mayor Keeley opened the public comment period. The following person spoke.

Garrett

Mayor Keeley closed the public comment period.

City Clerk Administrator B. Bush announced 12 valid protests were received, and the threshold for objections have not been met.

MOTION: Councilmember O'Hara moved, seconded by Councilmember Brunner, to adopt Resolution No. NS-30,511 adopting the revised wastewater user charges and rescinding Resolution No. NS-29,520.

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Brunner, Newsome, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmembers Trigueiro, Golder.
DISQUALIFIED:	None.

31. User Charges for Wastewater Services – Proposed Sewer Connection Fees (PW)
LOCATION: Citywide

Assistant Director of Public Works/City Engineer K. Crossley spoke.

Mayor Keeley opened the public comment period. There were no speakers. Mayor Keeley closed the public comment period.

MOTION: Councilmember Brunner moved, seconded by Councilmember O'Hara, to adopt Resolution No. NS-30,512 adopting the revised sewer connection fees, adding the updated sewer connection fees to the City-Wide Fee Schedule, and rescinding Resolution No. NS-29,801.

Public Hearings (continued)

31. User Charges for Wastewater Services – Proposed Sewer Connection Fees (PW)
LOCATION: Citywide (continued)

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Brunner, Newsome, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmembers Trigueiro, Golder.
DISQUALIFIED:	None.

Council took a break at 11:35 a.m. and reconvened at 11:46 a.m. to hear item 33.

General Business

32. First Reading of An Ordinance Amending Santa Cruz Municipal Code Chapter 6.07 to Prohibit the Sale of Filtered Tobacco Products (C

LOCATION: Citywide

Vice Mayor Kalantari-Johnson introduced the item.

Principal Management Analyst E. Nguyen, Ben Sommerville, Youth Liaison, Katie Thompson, Executive Director of Save Our Shores, Thomas Novotny, Professor Emeritus of Public Health at San Diego State University, and Deputy City Attorney C. Hard gave a presentation and responded to Council questions.

Mayor Keeley opened the public comment period. The following people spoke.

James Ewing Whitman
Unidentified person
Unintelligible
Sherry Dang
Jimmy Burk
Jaime Rojas
Shane McKeithen
Leigh
Taylor Lane
Piper
Sam Ruple
Shawn Burns
Erin Loury
Unintelligible

General Business (continued)

32. First Reading of An Ordinance Amending Santa Cruz Municipal Code Chapter 6.07 to Prohibit the Sale of Filtered Tobacco Products (CM) LOCATION: Citywide (continued)

Public comment (continued):

Tracy Weiss
Chris Kogan
George Leonard
Brian Courser
Rachel
Unidentified person
Marona
Danny May Dawn
Unidentified person
Trish Nilla
Unidentified person

Mayor Keeley closed the public comment period.

MOTION: Vice Mayor Kalantari-Johnson moved, seconded by Councilmember Golder, to:

- Introduce for publication Ordinance No. 2025-17 amending Chapter 6.07 "Tobacco Retailer Licenses" of the Santa Cruz Municipal Code to prohibit the sale of filtered tobacco products;

- Direct staff to collaborate with the County of Santa Cruz and local stakeholders to develop and implement educational outreach for affected retailers, assisting them in the transition away from selling filtered tobacco products;

- Affirm the City's commitment to support staff efforts in collaborating with the County of Santa Cruz and local stakeholders to enhance public education efforts; and

General Business (continued)

32. First Reading of An Ordinance Amending Santa Cruz Municipal Code Chapter 6.07 to Prohibit the Sale of Filtered Tobacco Products (CM) LOCATION: Citywide (continued)

MOTION (continued):

- Approve the CEQA determination contained in this agenda report and direct staff to file a CEQA Notice of Exemption. This action is not a "project" under CEQA pursuant to CEQA Guidelines Sections: 15378(b)(2) ("general policy and procedure making") and 15378(b)(5) ("organizational and administrative activities" that do not result in physical changes to the environment). And, even if it were considered a CEQA "project", this action is exempt from CEQA review pursuant to CEQA Guidelines Section: 15307 (action "to assure the maintenance, restoration, or enhancement of a natural resource"); 15308 (action "to assure the maintenance, restoration, enhancement, or protection of the environment"); and 16061(b)(3) (common sense exemption).

FRIENDLY AMENDMENT: Councilmember O'Hara requested to add:

- Direct staff to develop and publish an annual performance review of the filtered tobacco ordinance once implemented. This report should include key performance indicators (KPIs) such as:

    - Reductions in filtered tobacco litter in public spaces;
    - Retailer compliance and enforcement activity;
    - Youth tobacco and vape usage trends (as available);
    - Community awareness and education efforts; and
    - Any identified impacts to local retailers.

- Refer the potential for a complete ban on tobacco product sales to the Health in All Policies (HiAP) Committee to incorporate into its FY 2026 Work Plan and return to the Council no later than May 2026 with a formal analysis and recommendations.

Vice Mayor Kalantari-Johnson accepted.

ACTION: The amended motion carried with the following vote.

AYES:	Councilmembers Brunner, Newsome, Golder, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmember Trigueiro.
DISQUALIFIED:	None.

Council took a break at 3:22 p.m. and reconvened at 3:35 p.m. to hear items 2—4.

General Business (continued)

33. Designate Fire Hazard Severity Zones within the City of Santa Cruz's Local Responsibility Areas (LRAs) as recommended by the California Department of Forestry and Fire Protection (CalFIRE) pursuant to Government Code Section 51178 (FD)

    LOCATION: Citywide

Division Chief of Prevention/Fire Marshal T. Shields gave a presentation and responded to Council questions.

Mayor Keeley opened the public comment period. The following person spoke.

Unidentified person

Mayor Keeley closed the public comment period.

MOTION: Councilmember O'Hara moved, seconded by Councilmember Newsome, to:

- Introduce for publication Ordinance No. 2025-16 adding Chapter 19.20 to the Santa Cruz Municipal Code to designate Fire Hazard Severity Zones within the City of Santa Cruz's Local Responsibility Area (LRA) as recommended by the California Department of Forestry and Fire Protection (CalFIRE) pursuant to Government Code Section 51178; and

- Approve the CEQA determination contained in this agenda report, including the application of the following exemptions, to the extent that the Council action is deemed a CEQA "project": CEQA Guidelines § 15387(b)(2) and § 15387(b)(5) – ("general policy and procedure making" and/or "organizational or administrative activities"); CEQA Guidelines § 15061(b)(3) (commons sense exemption); and CEQA Guidelines § 15306 (data collection).

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Brunner, Newsome, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmembers Trigueiro, Golder.
DISQUALIFIED:	None.

At this time, Councilmember Brunner left the dais.

General Business (continued)

34. Economic Development Strategy Update and Recommendations: Vibrancy Ordinance, Permit Streamlining, and Fee Updates (EDH/PL)

LOCATION: Citywide

Economic Development Manager R. Unitt gave a presentation and responded to Council questions.

Director of Planning and Community Development L. Butler responded to Council questions.

Mayor Keeley opened the public comment period. There were no speakers. Mayor Keeley closed the public comment period.

MOTION: Councilmember Newsome moved, seconded by Councilmember O'Hara, to:

1. Adopt Resolution No. NS-30,513 to a) remove specified Planning and Building fees for the first twenty (20) qualifying new commercial businesses citywide, b) establish fees and charges associated with the Council's May 13, 2025 Municipal Code Chapter 5.84 "Vibrancy Ordinance," and c) direct staff to update the Master Fee Schedule and the Planning and Community Development Fee Schedule and take related implementing actions;

2. Direct staff to proceed with amendments to the Municipal Code Chapter 24.04.160 to extend the life of active commercial permits from calendar year 2019 through January 1, 2030;

3. Direct staff to proceed with amendments to the Downtown Plan and the Zoning Code to lower the permitting thresholds and remove use permit requirements for certain desired ground floor uses to streamline the permit process and reduce permit costs for new businesses citywide;

4. Adopt Resolution No. NS-30,514 amending the FY 25 budget to appropriate funds in the amount of $50,000 from the Economic Development Trust Fund for implementation of Downtown activation events over the next 12 months; and

5. Approve the CEQA determination in this agenda report, including application of the following exemptions if the Council action is deemed a CEQA "project": CEQA Guidelines Section 15301 (existing facility), 15306 (data collection), and Section 15061(b)(3) (common sense exemption).

General Business (continued)

34. Economic Development Strategy Update and Recommendations: Vibrancy Ordinance, Permit Streamlining, and Fee Updates (EDH/PL) LOCATION: Citywide (continued)

FRIENDLY AMENDMENT: Councilmember O'Hara requested to amend item 1 of the motion as follows:

1. Adopt Resolution No. NS-30,513 to a) remove specified Planning and Building fees for the first twenty (20) qualifying new ground floor commercial businesses citywide, b) establish fees and charges associated with the Council's May 13, 2025 Municipal Code Chapter 5.84 "Vibrancy Ordinance," and c) direct staff to update the Master Fee Schedule and the Planning and Community Development Fee Schedule and take related implementing actions.

Councilmember Newsome accepted.

Director of Planning and Community Development L. Butler spoke and clarified the proposed resolution does have this requested language.

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Newsome, O'Hara; Vice Mayor Kalantari-Johnson; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmembers Trigueiro, Golder.
DISQUALIFIED:	Councilmember Brunner.

Council took a break at 12:19 p.m. and reconvened at 1:47 p.m. to hear item 32.

General Business (continued)

35. Budget Adoption

Director of Finance E. Cabell gave a presentation and responded to Council questions.

Mayor Keeley opened the public comment period. The following person spoke.

Unidentified person

Mayor Keeley closed the public comment period.

35.1 Fiscal Year 2026 Proposed Budget Adoption (FN)

LOCATION: Citywide

MOTION: Councilmember Golder moved, seconded by Councilmember O'Hara, to:

- Adopt Resolution No. NS-30,515 adopting the Fiscal Year (FY) 2026 Budget, including the Capital Investment Program (CIP), effective July 1, 2025; authorize the City Manager to allocate within the applicable funds the FY 2026 Schedule of Budget Changes to the appropriate accounting classification; approve related and applicable transfers in/out between funds; and authorize the Finance Director to create additional appropriations to provide for commitments carried over from the prior fiscal year, including contract and purchase order encumbrances and unexpended project balances, so long as there is a sufficient fund balance to finance these commitments;

- Approve the CIP project exclusions from the Public Art transfer calculation for FY 2026;

- Accept the Water Commission's recommendations regarding the Water Department's FY 2026 Operating and Capital Investment Program (CIP); and

- Approve the CEQA determination in this agenda report including the application of the following exemptions, in the event that this action is considered a CEQA "project": CEQA Guidelines Section 15387(b)(2) and 15387(b)(5) ["general policy and procedure making" and "organizational and administrative activities"; and CEQA Guidelines Section 15061(b)(3) [common sense exemption].

General Business (continued)

35. Budget Adoption (continued)

35.1 Fiscal Year 2026 Proposed Budget Adoption (FN) LOCATION: Citywide (continued)

ACTION: The motion carried with the following vote.

AYES:	Councilmembers, Brunner, Newsome, Golder, O'Hara; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmember Trigueiro; Vice Mayor Kalantari-Johnson.
DISQUALIFIED:	None.

35.2 Resolution Amending the City of Santa Cruz Personnel Complement and Classification and Compensation Plans for Various Departments (HR)

LOCATION: Citywide

MOTION: Councilmember Golder moved, seconded by Councilmember O'Hara, to adopt Resolution No. NS-30,516 amending the City of Santa Cruz Personnel Complement and Classification and Compensation Plans for - City Manager's Office, Economic Development and Housing, Finance, Fire, Human Resources, Information Technology, Library, Parks and Recreation, Police, Public Works, and Water.

Any funding approved by the Council will not be implemented until the required meet and confer process is completed in accordance with City obligations under the MMBA and before any contract returns to City Council in open session.

ACTION: The motion carried with the following vote.

AYES:	Councilmembers Brunner, Newsome, Golder, O'Hara; Mayor Keeley.
NOES:	None.
ABSENT:	Councilmember Trigueiro; Vice Mayor Kalantari-Johnson.
DISQUALIFIED:	None.

Adjournment – Councilmember Brunner moved, seconded by Councilmember O'Hara, to adjourn. By consensus City Council adjourned at 4:17 p.m.

RESPECTFULLY SUBMITTED: ss/Julia Wood, Deputy City Clerk Administrator,
ATTEST: ss/Bonnie Bush, City Clerk Administrator, APPROVED: ss/Fred Keeley, Mayor.

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